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CZECH REPUBLIC

CNB Review: A hike is in the air

Czech board members left the policy rate unchanged at 3.75% in a unanimous vote. The press conference may have made only a slightly hawkish impression, yet we detect a firm conviction for tighter monetary policy if warranted. Our inflation forecast supports a rate hike in November, particularly under our scenario of elevated oil prices



The CNB kept rates on hold at the September meeting but hinted that rate hikes could be coming

Slightly hawkish tone with firm conviction

The Czech National Bank left the policy rate unchanged at 3.75% in a unanimous decision. We read the CNB presser as slightly hawkish, with clear hints that tighter monetary policy remains on the table if needed. The Board deems the overall risks as pro-inflationary, especially due to persistently elevated house price growth and stubborn core inflation. Robust credit activity, potentially expansive fiscal policy, and potent wage growth also point to risks to price stability in the medium term. The governor made clear that the next meeting in November will be a choice between stable rates or a rate increase, without signalling a preference for either outcome in a rather balanced assessment. Those expecting rates to remain on hold may point to phrases such as *long-term* price stability, while those in favour of a rate hike may focus on the preference for a strong koruna.

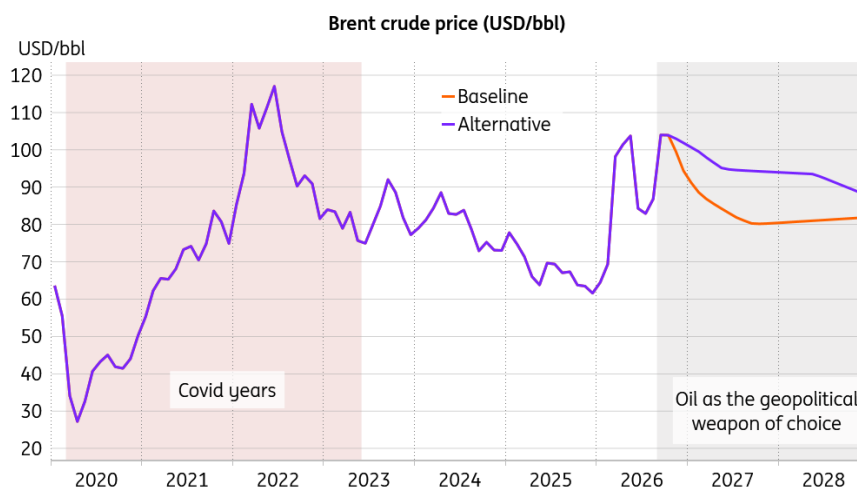
In any case, given our rather punchy inflation forecast, we shift to a single rate hike in

November as our baseline scenario. That said, we are ready to unwind the call should signals on regulated price adjustments in January suggest a much milder outcome than we expect and/or the conflict in the Middle East or Ukraine de-escalate substantially, implying a tangible and lasting decline in oil and natural gas prices. Things have changed, and the Board may be pushed towards a tighter monetary policy stance, even though we fully understand its preference to remain in wait-and-see mode for some time. So, unless the expected increase in inflation at the turn of the year is decisively viewed as a temporary upsurge, driven solely by energy prices with few second-round effects, we think the case for a rate hike will prevail. For now, it seems like a close call, with a 60% probability for a rate increase and 40% for the base rate to remain unchanged.

Oil prices have been too high for too long

We are increasing our inflation forecast in light of the latest developments, notably the escalation of the conflict in the Middle East that has driven Brent crude prices above \$100/bbl once again. Considering the elevated oil and natural gas prices, a weaker koruna outlook, and the long-awaited monthly gain in agricultural producer prices, all inflation subcomponents as defined by the CNB are becoming stronger. Pricing in agriculture surprised slightly to the upside in August, marking the first upside surprise after a series of weaker-than-expected readings and signalling a long-anticipated turnaround driven by higher fuel, fertiliser and transport costs.

Oil prices defy the usual downward outlook

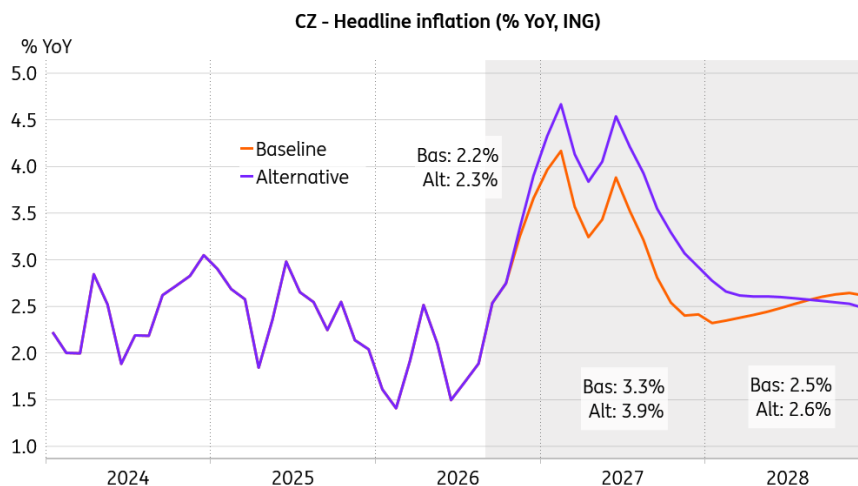


Source: ING, Macrobond

Well, energy prices rule them all, so we present both a baseline and alternative outlook for Brent crude prices, adjusting natural gas prices in a similar fashion. The thing is that we have repeatedly hoped for a sustainable softening in oil prices since March and never actually got it. So we want to gain a better understanding of the scenario in which no substantial and

prolonged decline occurs. Our baseline inflation forecast is shaped by Brent crude prices remaining above \$100/bbl in September and October but gradually receding thereafter to just above \$80/bbl by mid-next year. Meanwhile, we examine what is likely to happen to headline inflation and its subcomponents should – for whatever reason – the Brent crude price remain well above \$90/bbl for an extended period, say until late-2028.

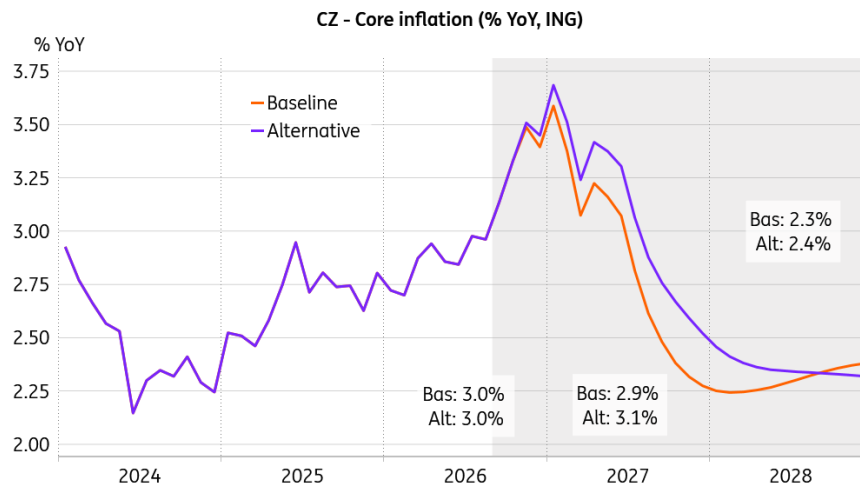
Many factors point towards punchy 2027 inflation



Source: CZSO, ING, Macrobond

Considering next year's headline inflation, many items point in the same direction, be it the renewed regulated and food price growth, persistently strong fuel prices, stubborn core inflation, or the effect of a low 2026 comparison base. Should energy prices evolve in line with our baseline scenario, headline inflation would average 3.3% next year and core inflation at 2.9%. We take the position that the window for domestic energy distributors to purchase the underlying commodity at a reasonable price has not really opened since March, so we expect regulated prices to rise around 4% next year. That said, we will receive more information about price plans in the regulated segment over the coming months, with January's monthly price adjustment being notoriously hard to gauge.

Core inflation set to remain stubborn



Source: CNB, ING, Macrobond

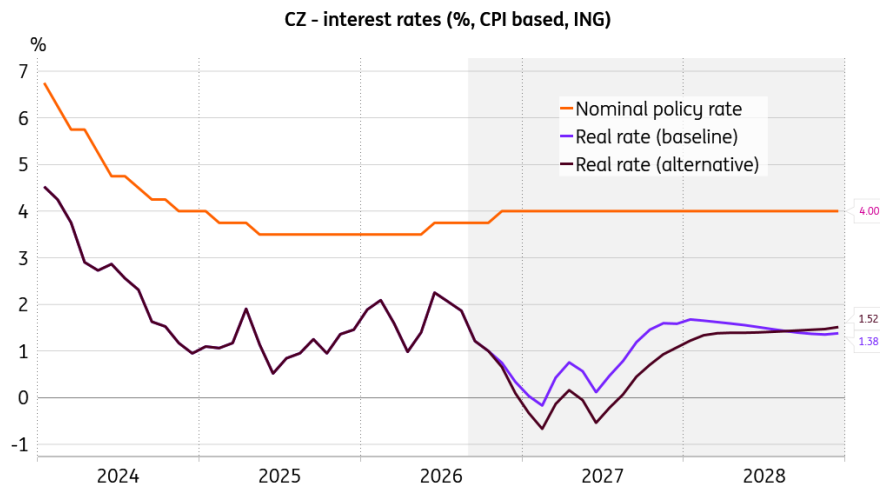
Considerable uncertainty surrounds January's adjustments to regulated prices, including electricity, natural gas, heating and water charges, as well as the trade-off between mandatory and discretionary spending, which could weigh on core inflation. Nevertheless, should global energy prices remain elevated for an extended period, such as in our alternative scenario, we see headline inflation averaging just below 4% next year with the core rate at 3.1%. That is quite a different story, as households' compulsory expenditure would absorb a much larger share of their budgets, while the perception of inflation returning could prompt consumers to hit the brakes on spending either for precautionary reasons, or just because it will be harder to make ends meet for medium- and low-income earners.

Everyone tilts towards tighter monetary policy

When considering the nominal interest rate path (including one hike) and the inflation profile, real interest rates would remain close to the zero-bound up until mid-next year even in our baseline scenario for headline inflation. Should oil prices remain higher for longer, real rates would likely drift into negative territory for a longer period, as our alternative scenario suggests. And we know that the governor and other board members are not big fans of negative real interest rates. We've always agreed on this.

That said, the European Central Bank's real interest rate has remained negative since March, the Federal Reserve's real interest rate has flirted with zero since April, and we see what has happened. Indeed, the era of deeply negative real borrowing costs is clearly behind us. We take the stance that the CNB's inclination for positive real rates will ultimately prevail in November, especially if the koruna's weakness no longer helps to dampen imported inflation. At this stage, this is set to be a one-and-done tightening move, also because the real interest rate is set to climb through the second half of next year.

Real interest rates set to flirt with the zero-bound



Source: CNB, ING, Macrobond

Our market view

The CNB press conference struck a dovish tone relative to market pricing, as expected, but signalled a "no-change" stance compared to the August meeting. The CNB Board remains open to further rate hikes, yet sees no need to rush at this moment. While the initial market reaction was dovish, rates ultimately ended the day unchanged from pre-decision levels. The CNB outlook remains a mixed bag; four rate hikes are still priced in, and the yield curve saw only slight steepening. Looking ahead, we anticipate the CNB adopting a more hawkish stance in the coming weeks and months. This should shift the curve from steepening to flattening and support the currency. EUR/CZK briefly touched 24.350 today but closed lower. For now, the 24.300–24.350 range appears fair, though we expect a stronger US dollar to push the pair higher in the coming days. However, September inflation data, due in early October, could mark a turning point; headline figures exceeding the CNB's forecast for the first time in a while might trigger more hawkish commentary from the central bank.

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